

utilisation of EV charging stations that CPOs invest in. There is an expectation that the EV sector may soon be designated as a priority lending sector. Such a development, quickly announced, will likely boost EV adoption in the country. As for CPOs, we have a range of options for raising capital. Equity is typically the most favourable starting point. In specific business models, like the B2B free charging model, there is growing interest in equity and debt financing and asset financing. So, the financial landscape for EV financing and the charging infrastructure business is evolving and offering more opportunities.

Will more EVs on the road translate to having CPOs like you enable the deployment of more chargers?

Indeed, the increasing number of EVs on the roads directly influences our deployment of more chargers. At ChargeZone, we've already electrified over 20,000 kilometres of highway in India. Notable projects include the Jamnagar to Chennai stretch, approximately 2000km, and routes like Delhi to Jaipur, Jaipur to Ahmedabad, and Delhi to Agra. This expansion reflects the growing demand for highway travel among EV owners, keen on using their vehicles for longer trips, such as from Mumbai to Pune or Chennai to Bangalore. Our goal is to electrify around 50,000 kilometres by December 2024. Our charging stations are on major routes like Hyderabad to Vijayawada and Hyderabad to Bengaluru. We are also forming new partnerships with various OEMs, including Hyundai, Mercedes, MG, Mahindra, and Tata Motors. These collaborations involve creating information and roaming platforms under the Open Charge Point Protocol (OCPP), allowing users to discover and transact EV charging sessions through their respective OEM apps.

These initiatives indicate that the growth we anticipated for 2025 is happening now. The rapid pace at which almost all OEMs launch or announce new EV models has surpassed our expectations. Moreover, the CPO business is expanding beyond personal mobility to commercial vehicles. Several OEMs are on the brink of launching electric trucks, ranging from 12 to 55 tons. This will significantly increase the use of our charging network, making the CPO business more dynamic and financially viable.

Will partnerships between battery makers, CPOs, and EV OEMs provide financial institutions with the necessary data and confidence to increase their support for financing more EVs?

Indeed, the hesitation among financial services companies, including NBFCs (non-banking financial companies) and traditional banks, to finance EVs stemmed mainly from a need for more data. In contrast, the internal combustion (IC) industry has a century's worth of data, contributing to a typically higher resale value for IC vehicles. However, this perception is shifting due to the nature of EVs as connected vehicles, which generate extensive data for every kilometre travelled. Startups and advanced technology companies are playing a crucial role in this transformation. They are assisting banks in developing analytical tools and dashboards that monitor an EV's historical data and provide predictive analytics. These tools can forecast the potential residual value of an EV after three to five years. The financial services industry is actively exploring innovative financing methods for EVs, especially at the balance sheet level. This approach marks a significant change in how EVs are financed, leveraging the unique data capabilities of these vehicles.

Do you think CPOs will eventually move towards establishing battery swap stations alongside their existing charging infrastructure?

It is essential to recognise that battery swapping differs fundamentally from the plug-in charging business. Battery swapping targets specific vehicle segments, such as two-wheelers and three-wheelers, where distinct strategies emerge. For instance, if smaller batteries, like those with 2- or 3-kilowatt capacity, can be quickly charged, they could directly compete with the concept of battery swapping. Meanwhile, battery swap companies are introducing integrated models into the market. These models encompass vehicles, battery packs, swap stations, and the necessary infrastructure. Moreover, they often involve backward integration, extending into manufacturing. This evolution of new-age models in battery swap technology is noteworthy. Ultimately, battery swap stations coexist with plug-in charging stations. Both have unique applications and cater to different needs within the EV ecosystem.

Are you satisfied with the quality of chargers being supplied by Indian OEMs at present?

Let's approach this from a different angle. An electric vehicle charger, whether DC or AC, comprises power electronics and embedded software. These capabilities have been present in India for quite some time. Moreover, EV chargers are IoT devices connected to the cloud, adding another layer of complexity and functionality. I'm pleased to report that many Indian OEMs are meeting and sometimes surpassing global benchmarks for EV chargers. We have yet to face any significant challenges in this regard. **EFY**